

Benjamin Graham—in His Time and Ours

by Roger Lowenstein

Of all the stocks Benjamin Graham bought over the course of his career, none were more influential than the odd lot of U.S. Steel purchased by his mother. Left a widow in 1904, she tried to keep up her husband's import business, then ran a boardinghouse; both efforts failed. In 1907, with bullish sentiment riding high, she purchased Steel on margin. Later that year, Wall Street succumbed to a panic, and her account was wiped out. Such was 13-year-old Ben's introduction to investing.

Graham was to learn the lesson more than once. His early history is important, because it was the source of his insight into investing. He grew up in New York City and managed to attend Columbia University despite his family's meager savings. Upon graduation, the deans of three departments (mathematics, philosophy, and English) offered him teaching jobs, but the dean of Columbia College¹ liked to send prize pupils downtown, to Wall Street. Graham went to work in 1914 in the bond department of Newburger, Henderson & Loeb, at \$12 a week. World War I erupted months later. Although the war cast a pall on Wall Street, as it became clear that America was to provision

¹ The college dean was Frederick Paul Keppel. This account draws on Irving Kahn and Robert D. Milne, "Benjamin Graham: The Father of Financial Analysis," *Financial Analysts Research Foundation*, Occasional Paper No. 5.